

How to use the Earnings Premium Dashboard

Alright so we know that you can immediately see all the trades that have a tradable earnings event today. We also know that by trading a lot of events we can diversify our risk and capture the average risk premium that is embedded into the stocks around their events.

We know that we can do this and make money.

If you want to be able to dive deeper into the risk premiums you are going to need a tool set that allows you to objectively look at the risk premium from different angles. This may include doing things like:

1. Seeing a backtest of how selling options around earnings has performed.
2. Seeing how volatile the moves have been around historical events compared to what was implied.
3. Seeing how volatility is being priced around the upcoming event compared to historical events.

You may want to see data such as this:



Everything you need to examine the Earnings risk premium is built into the Predicting Alpha terminal for you.

Why?

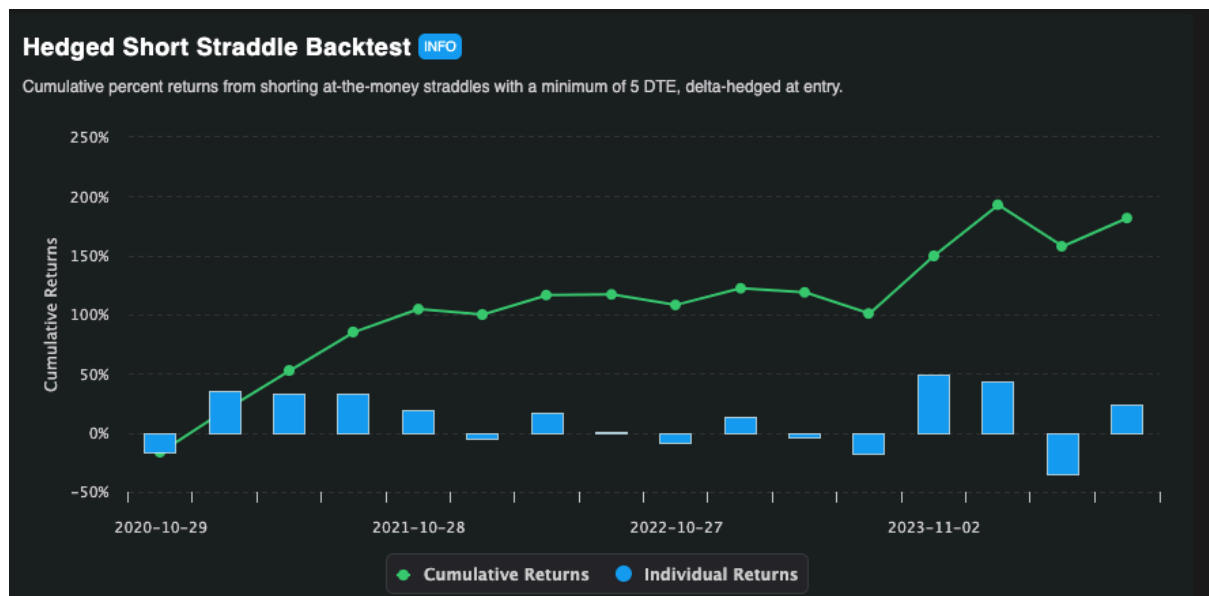
Because these tools were originally built for ourselves. Every feature on this page was specifically designed to give you the insights needed to understand how the risk premium has been priced historically compared to the present.

We provide this information so that traders looking to take their own approach to earnings and build on the foundation we have created are able to do so.

1. You can analyze the earnings risk premium for individual stocks.
2. If you find a data point that you want to customize your scan based on, you can edit the earnings scan to do it!

Let's go over the main data that you have access to.

Backtested Earnings Results.



If we wanted the answer to one question for this strategy it would be this:

Has taking this trade made money?

So built into the Predicting Alpha Terminal is a backtest for earnings where you can see the performance of selling at the money straddles around earnings (what we do in the strategy).

In the PA Terminal we look at up to four years of earnings events (16 events). This chart shows you:

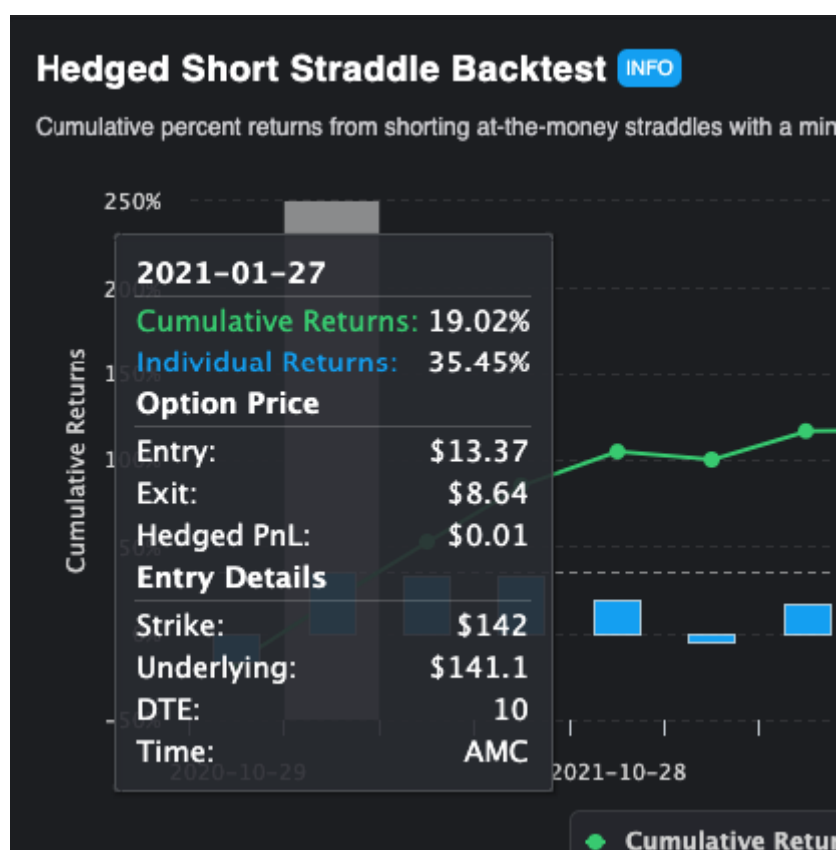
1. The PnL for being short a straddle around each individual event.
2. The cumulative PnL for being short a straddle across all of the events.

The core interpretation of this graph is pretty straightforward. Has selling volatility made money in the past. We get this interpretation by seeing if the short straddle has made money over the last 4 years of events.

But you can also get an idea about the shape of the PnL. What I mean by this is that you can see things such as

1. Is the PnL smooth? - do we see many small winners and the occasional big loser like we expect with option selling.
2. Is the PnL choppy? - are there a lot of winners and losers and the PnL does not appear to be typical for option selling strategies.

If you want to get some insights into what happened on a specific event, you can hover over the data point for an individual event. The picture below shows you the insights you can get for individual events.



Everything you need to know. The entry & exit prices, what the DTE and strike would be for the trade on that day, and the exact performance.

Historical analysis: The implied move, jump and total move for each event

Since we are trading the implied VS realized movement around earnings. This chart shows you how much the stock was implied to move for each event VS what the following day's movement actually looked like.

The “jump” is how much the stock moved right in the morning at market open. This is a valuable data point since we are typically closing out the trade shortly after the open.

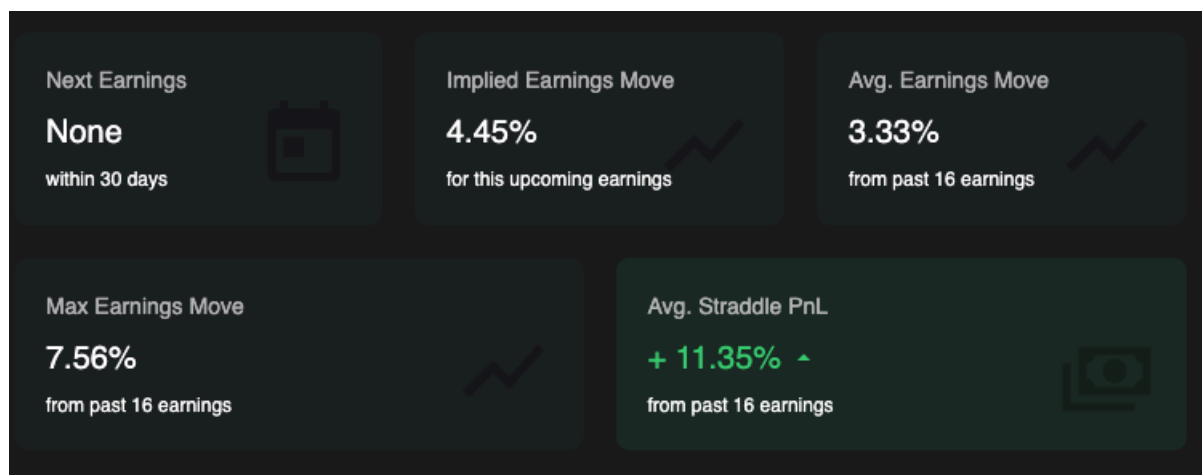
The “move” is how much the stock moved over the whole day (the measure is taken at market close on the day after earnings).

This graph is a great compliment to the backtest in the same way that the variance risk premium chart is a great complement to the backtest on the ETF page.

Remember: what we are trading is the implied earnings move versus the realized earnings move. This chart actually shows us this for every event historically. It shows us if the implied vs realized move has been something we can monetize. The backtest is the contrast to this which shows us the reality of if we were actually *able* to monetize it.



The key metrics: a quick overview of what you need to know



So based on the two graphs we just covered there are obviously a couple of key insights that you are trying to get. To make life easy for ourselves (and you) we extracted them and put them on scorecards right at the top of the earnings dashboard.

Next earnings: You can see the earnings date, the time, and a countdown.

Implied Earnings Move: You can compare this events implied move against how much it moves on average (you gotta know how much the stock is expected to move).

Avg. Earnings Move: See how much the stock has moved on average historically (useful for seeing how much the difference between the implied move and the actual move could be).

Max Earnings Move: The biggest move that has actually happened in the past (useful for trying to estimate potential losses on a trade).

Avg Straddle PnL: How much being short a straddle has made or lost on average over the last 4 years of events (negative PnL is good for this metric). This also shows you how many events are in the backtest (if the ticker has been publicly traded for less than 4 years, you will have less than 16 events)

This is *the* snapshot that you need to make good decisions.

Extra charts for very specific use cases

The charts below are not something that most traders are going to need to look at, but depending on your specific use case you may find it useful. If you want to learn more about these charts individually you can click the blue “info” buttons beside the title of each graph.



How to customize the scanner

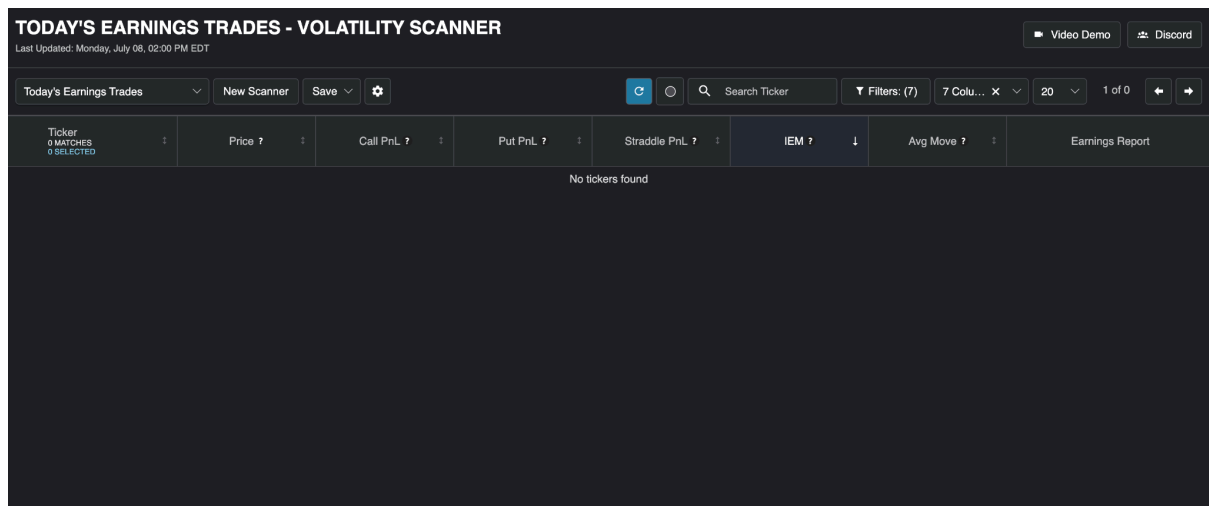
Let's say that over time you discover that there is a particular factor you care about that heavily influences your trades. Hypothetically, let's say it's the size of the implied earnings move.

You have now decided that you only take trades where the implied earnings move is greater than 4%.

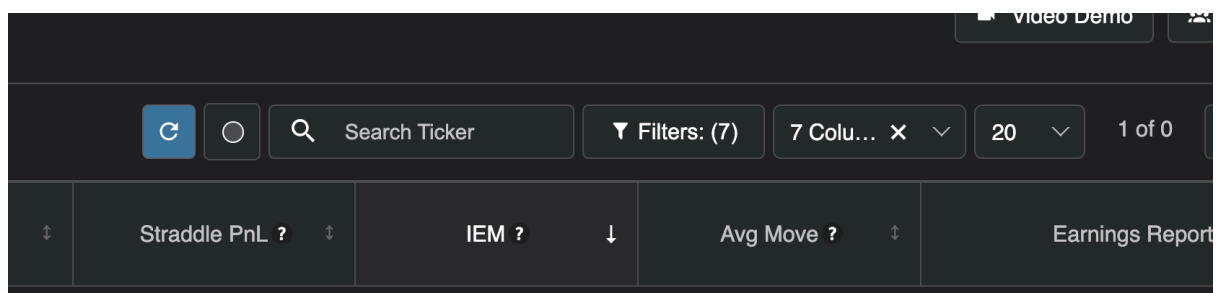
You can actually update your scanner to add this new criteria.

Here's how you do it:

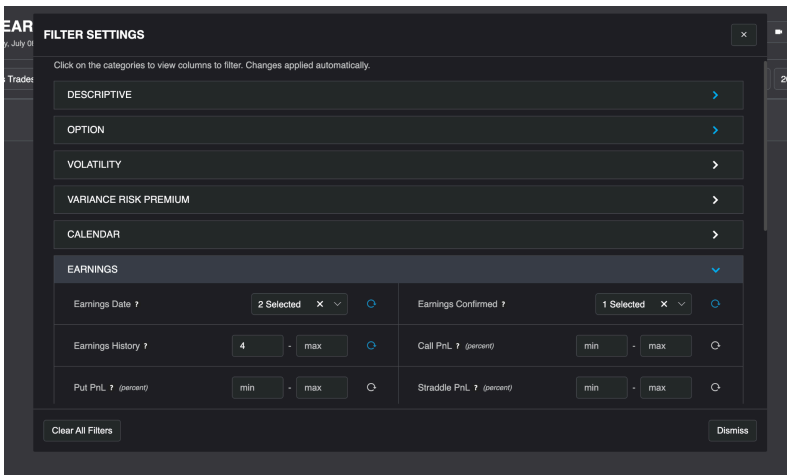
Step 1: Go to the scanner



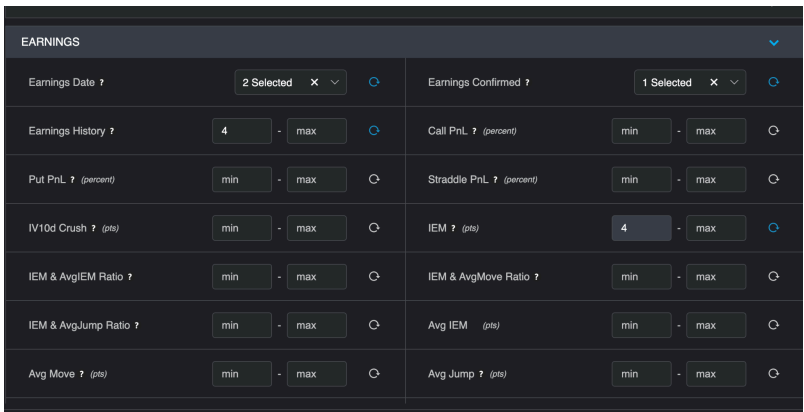
Step 2: Click the filters button



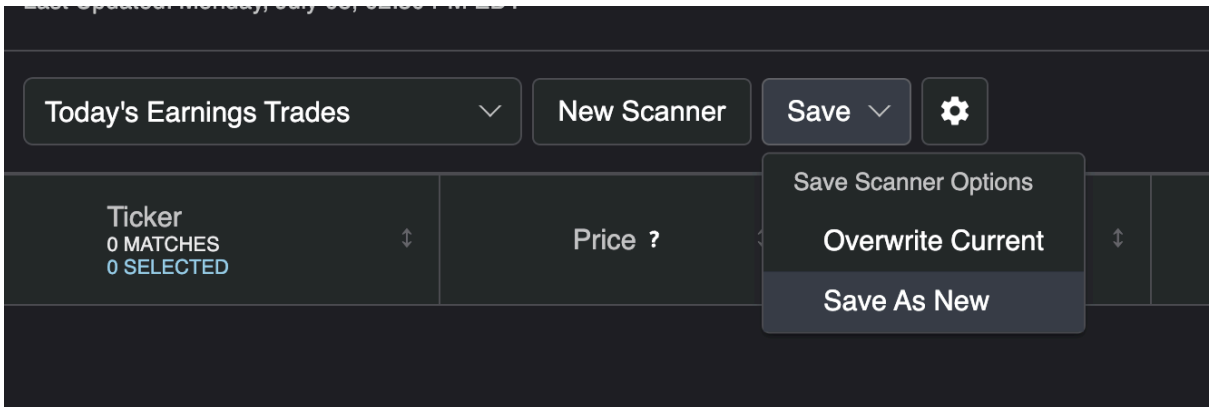
Step 3: Open the earnings data points dropdown



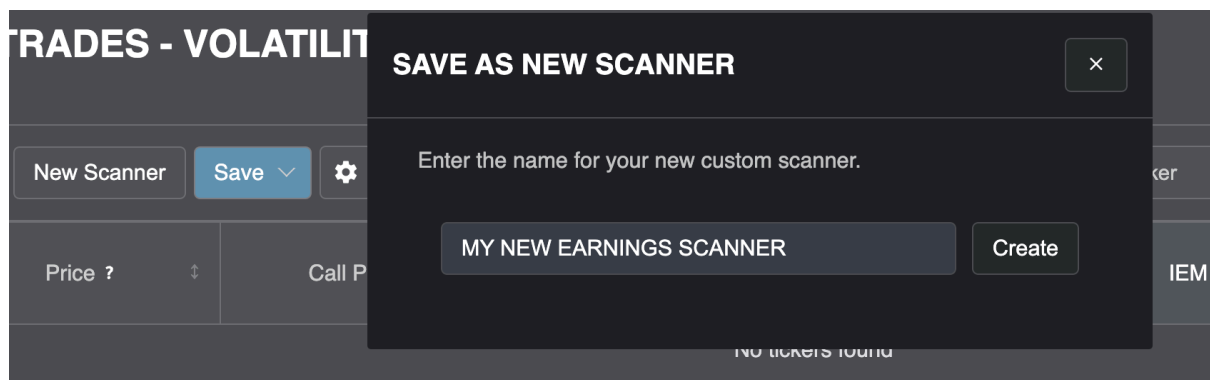
Step 4: Go to the implied earnings move column and set a minimum of “4”



Step 5: Save the scanner as a new scanner (you can’t write over the defaults)



Final step: Give it a name and click “create”!



And that's it. Every time you sign into the terminal now you will have your new scanner in the list of scans that you have access to.

Disclaimer: untested data points

All of these extra data points give you the flexibility to examine and iterate on the earnings strategy. By providing these data points we are not saying you need to use them nor that the way you will choose to use them will improve your results.

As we spent the majority of this section saying: the core of this strategy is that people are willing to pay a premium for protection around earnings events and we can extract the premium by taking lots of trades in small sizes.

That's it.

Our core recommendation is to keep it boring. But if you have an idea, you have the tools to explore it and adjust the way things are presented to you to help you express your ideas on the market.

We have officially covered everything for the Earnings Premium Strategy.

You now have all the information that you need to start running two profitable (albeit boring) strategies.

If you take what you've learned in this course, apply it, and don't mess with it, you will be really happy with the results, improved sleep and newly discovered free time that you have.

Up next: Final exam

We have officially covered all the material that you need to know in order to start running these strategies.

To help you feel confident in your newly developed skills, we created a test for you to make sure that you know your stuff.

Once you complete the PA Final Exam you will be a certified volatility trader and ready to start running your book the right way.

Remember that if you have questions about the strategies covered you can use the chat bubble in the bottom right corner to contact me any time.

Happy trading,

Sean